HSC ECONOMICS • DOMESTIC ECONOMIC POLICY • MONETARY POLICY



ILLUSTRATED EXPLAINER

From Emergency Toolkit to Considered Framework

How the RBA's thinking on unconventional monetary policy has shifted, five years on from the pandemic

1
primary tool: the cash rate target

4
guiding principles in the new framework

6
tools now covered by the framework

$39bn
combined balance-sheet cost disclosed

Cash rate · Term funding · Bond purchases · Forward guidance · Yield target · Neg. rates / FX

Based on: **Christopher Kent** (Assistant Governor, Financial Markets, RBA), *"Additional Monetary Policy Tools: Reflections and a New Framework"* — speech and Q&A transcript, Sydney, 29 June 2026, alongside the RBA's new *Framework for Additional Monetary Policy Tools at Low Interest Rates*.

1 · Why this speech matters for you

Your syllabus asks you to know that when the cash rate hits its **effective lower bound**, the RBA can turn to **unconventional ("additional") monetary policy tools** — things like quantitative easing, forward guidance and term funding facilities. This 2026 speech is the RBA *marking its own homework* on that 2020 experiment. It tells you, in the RBA's own words, what worked, what it would do differently, and how it plans to decide next time. That makes it a goldmine for HSC exam responses on monetary policy evaluation.

THE CORE SHIFT, IN ONE LINE

The RBA hasn't ruled anything out — but it has moved from **reactive, ad-hoc crisis tools** in 2020 to a **documented, principle-based framework** in 2026, with much more explicit attention to balance sheet risk, governance and exit strategy.

Timeline: how we got here

2020
Pandemic hits. RBA deploys cash rate cuts, a Term Funding Facility, bond purchases and a 3-year yield target — largely live, under pressure.

2020–21
Yield target abandoned (Nov 2021) after markets moved against it. TFF and bond buying wind down through 2021–22.

2023
Independent RBA Review recommends a clearer, pre-agreed approach to future use of additional tools, and splits governance into two boards.

2025
Monetary Policy Board and Governance Board formally separated. Reviews of pandemic-era tools completed.

Jun 2026
New *Framework for Additional Monetary Policy Tools* published. Kent's speech and Q&A explain the reasoning.

Quick recap: what counts as "unconventional"?

Conventional monetary policy is simply moving the **cash rate target** via open market operations. Once the cash rate is at (or very near) zero, it can't easily go much lower, so central banks reach for other levers to keep easing financial conditions. Six such tools sit inside the RBA's new framework — each is colour-coded below, and that colour is used consistently through the rest of this explainer:

- Cash rate target
- Term Funding Facility
- Bond purchases (QE)
- Forward guidance
- Yield curve target
- Negative rates / FX purchases

Cash rate target
the primary tool — always used first

Term Funding Facility
cheap fixed-term loans to banks

Government bond purchases
quantitative easing (QE)

Forward guidance
committing to future settings

Yield curve target
pinning a specific bond yield

Negative rates & FX purchases
the two tools never yet used

Source: transcript of Q&A session, RBA, 29 June 2026 · "Additional Monetary Policy Tools: Reflections and a New Framework", Christopher Kent

2 · The shift: from improvisation to principle

Kent is careful to say the RBA is **not ruling any tool out**. What has changed is the *process* around deciding to use one. Comparing the 2020 experience with the 2026 framework shows a clear shift in mindset.

2020 — the pandemic response

- Tools designed and deployed at speed, under acute time pressure ("We just live during the auction decided…")
- Individual tools assessed largely on their own, after the fact
- Balance sheet risk acknowledged but not scenario-tested in depth
- Time-based commitments (fixed 3-year yield target, fixed TFF term) — hard to unwind when conditions changed
- No pre-agreed framework for choosing between tools

2026 — the new framework

- Four guiding principles agreed *before* the next crisis, tested with external reviewers
- Governance Board (risk) and Monetary Policy Board (economy) now formally separate, with distinct lenses
- Explicit scenario analysis, "fire drills" and documented risk trade-offs required upfront
- Preference for outcome-based conditions over fixed dates in forward guidance
- Tool interactions and exit strategy considered as part of design, not an afterthought

> *"I think, if anything, having this framework doesn't slow the process. I think it will speed — sort of allow us to make timely decisions."*
>
> — Christopher Kent, in response to a question about whether the framework could slow the Monetary Policy Board down

A key structural change: two boards, two jobs

Since the RBA Review, decision-making is split between two boards with different mandates. The **Monetary Policy Board** decides what's best for inflation and employment. The **Governance Board** manages the Bank's own financial risk. When several tools could deliver similar stimulus, the Governance Board would prefer the option that costs the Bank's balance sheet less — without overriding the Monetary Policy Board's economic judgement.

This matters because bond purchases and term lending both shift risk from private balance sheets onto the **consolidated public sector balance sheet** — essentially, the taxpayer. More on that trade-off on page 6.

Monetary Policy Board

Lens: inflation target & full employment. Chooses *which* tools, and how much.

Governance Board

Lens: the Bank's own balance sheet risk. Prefers lower-cost designs for similar stimulus.

How a decision would actually flow under the new framework

1. **Shock identified** — e.g. rates near zero, disinflation risk
2. **Four principles applied** — mandate fit, cost/benefit, readiness, wider policy
3. **Boards consult** — MPB + Governance Board, plus Treasury & APRA
4. **Tool(s) deployed** — purpose & exit conditions communicated upfront
5. **Reassessed & exited** — revisited as conditions evolve, tested via fire drills

Source: Q&A transcript, 29 June 2026 — questions on framework governance and risk management.

3 · The four guiding principles

These are the rules the Monetary Policy Board now applies *before* reaching for any additional tool. Three external experts — Loretta Mester, Malcolm Edey and Begoña Domínguez — stress-tested this framework before publication.

1
Fit the mandate

Any tool or package must support the inflation and employment objectives, and be consistent with financial stability. No tool is used just because it's available.

2
Benefits must justify costs

Expected economic benefit should be reasonable relative to the potential cost — including financial risk to the Bank and the public sector balance sheet.

3
Stay ready and flexible

Tools should be operationally ready to deploy quickly, but flexible enough to be scaled up, scaled down, or exited as conditions change.

4
Look beyond the RBA

Consult Treasury, APRA and other agencies. Consider the *consolidated* public sector balance sheet, not just the RBA's — while preserving independence.

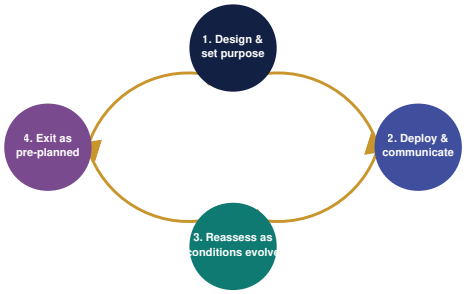
WHY PRINCIPLE 4 STANDS OUT

Kent singles this one out as the reviewers' biggest contribution. It wasn't new thinking exactly — but it forced the RBA to formalise how its tools interact with government policy and finances, something students often underweight when discussing “independent” monetary policy.

Three practical commitments that flow from the principles

Commitment	What it means in practice
Clear, communicated purpose	Separate monetary-policy motives from market-functioning/financial-stability motives. If a tool serves both, say so explicitly — ambiguity undermines effectiveness and makes exit harder.
Dynamic reassessment	Settings for any tool are revisited as conditions evolve, just like the cash rate — because benefits tend to arrive early while costs (e.g. balance-sheet losses) build up over time.
Exit planned from day one	A strong, credible commitment can make a tool more powerful, but harder to unwind. The exit strategy is designed alongside the tool, not improvised later.

The lifecycle every tool must go through



Every additional tool is assessed across its full lifecycle, not just at the moment it's launched

Source: “Additional Monetary Policy Tools: Reflections and a New Framework”, RBA, 29 June 2026.

4 · Tool-by-tool: the pandemic verdict

This is the RBA effectively grading its own 2020 toolkit. Use this table directly in HSC responses evaluating the effectiveness of unconventional monetary policy in Australia.

Tool	Used?	2026 verdict	Key lesson
Term Funding Facility Cheap 3-yr fixed-rate loans to banks	Used	Effective at cutting funding costs and passing through low rates — but the fixed rate/term gave zero flexibility and cost the RBA ~$9bn as rates later rose faster than expected.	A *variable-rate* version (like today's Open Market Operations) would carry less financial risk — not available operationally in 2020, but is now.
Bond purchases Quantitative easing	Used	Very effective for restoring dysfunctional bond markets early in the crisis (~$40bn, March–May 2020). Less powerful than overseas as a long-run demand tool, given Australia's bank-based, short-duration lending. Cost ~$30bn to date.	Best used as a *targeted* fix for market dysfunction, not a first-choice tool for easing broad financial conditions in Australia.
Forward guidance Committing to future settings	Used	Can ease conditions when credible — but a strong, time-based commitment is hard to unwind if the economy surprises you, and it can damage RBA credibility.	Prefer conditions tied to *economic outcomes*, not fixed calendar dates. Needs a well-understood "normal times" reaction function to work.
Yield curve target 3-year government bond yield pinned	Used	Helped early on, but shares forward guidance's problems *plus* real balance-sheet risk. Abandoned in Nov 2021 when it became disconnected from market pricing — a disorderly exit.	Handle with caution Only for exceptional, well-scenario-tested circumstances with a credible exit plan from the start.
Negative interest rates	Not used	Never deployed in Australia. Can add stimulus, but risks impairing market function, financial stability, and is deeply unpopular where tried overseas (e.g. Europe, Japan).	Could help resist currency appreciation if major trading partners go negative — but not currently operationally ready here.
Foreign exchange purchases	Not used	Could push the AUD down to support demand — distinct from short-term FX intervention to fix disorderly markets. The AUD trades in deep, liquid markets, so a meaningful effect would need very large purchases.	Substantial financial risk for uncertain payoff — "only in truly exceptional circumstances."

At a glance: an illustrative risk/effectiveness heat-map

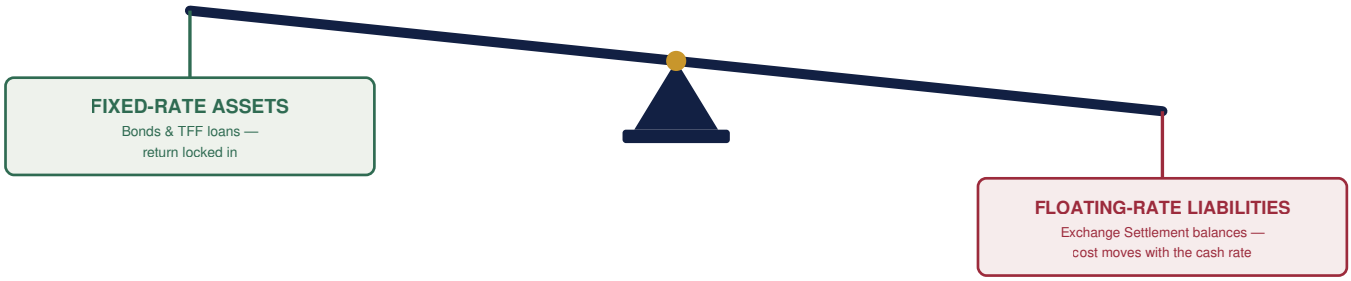
	Effectiveness in Australia	Balance-sheet risk	Flexibility	Operational readiness
Term Funding Facility	Strong	High risk	Limited	Ready
Bond purchases	Moderate	High risk	Moderate	Ready
Forward guidance	Moderate	Low risk	Moderate	Ready
Yield curve target	Moderate	High risk	Limited	Caution
Negative rates	Uncertain	Moderate	Moderate	Not ready
FX purchases	Limited	High risk	Moderate	Moderate

This is our own illustrative synthesis of the qualitative judgements Kent gives in the speech and Q&A — not a reproduction of the framework's actual Table 4 heat-map, which is not shown in the source transcript.

Source: speech and Q&A transcript, RBA, 29 June 2026. Dollar figures as cited by Kent.

5 · Why “free” stimulus isn't free

A theme running through the Q&A: additional tools don't just affect the economy — they can leave the RBA (and ultimately, the public sector) holding financial risk. This is central to any HSC evaluation of unconventional monetary policy.



A balance-scale view: when the cash rate rises, the floating-rate side gets heavier — a mark-to-market loss for the RBA

THE MISMATCH, IN WORDS

If the cash rate rises after the RBA has locked in fixed-rate assets, the interest it *pays* rises while the interest it *earns* stays flat — producing a mark-to-market loss. That's exactly what happened as rates rose faster than expected after the pandemic.

~$9bn
Cost of the Term Funding Facility as policy rates rose faster than expected

~$30bn
Cost of the bond purchase program to date

$0
Government indemnity sought — RBA chose not to ask

Kent stresses a central bank *cannot go bankrupt* in the conventional sense — it can operate with negative equity. But that doesn't make the losses irrelevant. They still show up on the **consolidated public sector balance sheet** (the RBA plus government combined), and could in principle have been transferred to government via an indemnity.

> *“We thought not asking [for an indemnity] strengthened our hand in terms of our longer-term central bank independence… we're buying in the secondary market. It's at arm's length from the Government.”*
>
> — Christopher Kent, on why the RBA didn't seek a government indemnity for bond losses

Where does the risk actually end up?

A **Private balance sheets**
households & banks — risk starts here in a crisis

→

B **RBA balance sheet**
absorbs risk via bond purchases & term lending

→

C **Consolidated public sector**
ultimate exposure — this is principle 4's focus

Source: Q&A transcript, 29 June 2026, and speech endnotes 8 & 10.

6 · The hierarchy of tools

Despite the new framework's detail, Kent keeps returning to one simple idea: **the cash rate still does almost all the work**. Additional tools are a last resort, used with care.

CASH RATE TARGET
Primary & preferred tool. Used first — and possibly pre-emptively, before hitting the lower bound.

TERM FUNDING & BOND PURCHASES
Used in genuine crises, especially where markets are dysfunctional or bank funding is under stress.

YIELD TARGETS · NEGATIVE RATES · FX PURCHASES
Reserved for truly exceptional circumstances, with heavy caveats and scenario testing.

Why a low “neutral rate” makes this more relevant

A questioner pointed out that if the neutral cash rate is only around 3.6%, and central banks typically cut rates by ~400 basis points in a recession, Australia could hit the effective lower bound again fairly easily.



Why a lower neutral rate leaves less conventional room before additional tools are needed

Option raised	Kent's view
Be more pre-emptive with rate cuts when disinflation threatens	Favoured — reduces the need to reach for additional tools at all.
Raise the inflation target (to push up the nominal neutral rate)	Rejected as dangerous — a movable inflation target undermines credibility. Slight argument for keeping 2–3%, not narrowing to a lower point target.
Boost productivity economy-wide to lift the neutral rate	Could help, but sits with other arms of government, not something the RBA can control directly.

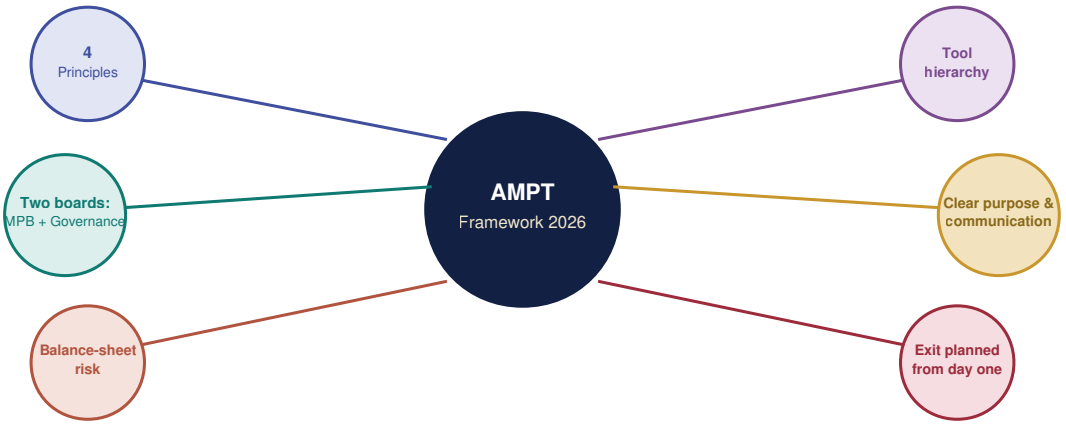
SYMMETRY POINT FOR YOUR NOTES

At the *high* end of the cash rate, Kent argues additional tools aren't needed: the cash rate transmits to the economy mainly through housing/business investment, the exchange rate and the “intertemporal” saving effect — *not* mainly through mortgage cash flow, which is often overstated in public debate. So the hierarchy on this page holds at both ends of the cycle, not just at the low end.

Source: Q&A transcript, 29 June 2026.

7 · Using this for HSC Economics

The framework in one picture



A capstone summary — the six ideas this whole explainer builds towards

Sample response stems

SHORT ANSWER

Explain how the effectiveness of unconventional monetary policy tools depends on the structure of a country's financial system. → *Use the bond purchase discussion (p.5): Australia's bank-based system with short-duration lending made QE less powerful here than overseas, while it made term funding especially effective.*

EXTENDED RESPONSE

Evaluate the RBA's use of unconventional monetary policy since 2020. → *Structure around principles (p.4), tool-by-tool verdicts (p.5), and the balance-sheet cost trade-off (p.6) — this gives you both benefits and costs, which examiners reward.*

EXTENDED RESPONSE

Discuss the constraints on monetary policy at the effective lower bound. → *Use the neutral rate discussion (p.7) and the hierarchy diagram to show why low neutral rates make this a live, ongoing constraint, not just a 2020 story.*

Glossary

- **Effective lower bound**
  The point at which the cash rate can't be cut much further without becoming unproductive or destabilising, generally at or just below zero.
- **Quantitative easing (QE)**
  Central bank purchases of government bonds (or other assets) to lower long-term yields and ease financial conditions when the cash rate can't go lower.
- **Yield curve control / target**
  Committing to buy whatever bonds are needed to hold a specific bond yield at a target level, rather than targeting a quantity of purchases.
- **Consolidated public sector balance sheet**
  The combined net assets/liabilities of the RBA and the rest of government — the relevant frame for assessing the true cost of central bank risk-taking.
- **Mark-to-market loss**
  A loss recorded when an asset's current market value falls below its purchase price, even if it hasn't been sold — relevant to the RBA's bond holdings as rates rose.

ONE SENTENCE TO REMEMBER

The RBA hasn't decided unconventional tools were a mistake — it's decided that *using them well next time requires deciding the rules in advance*, rather than improvising under pressure as it did in 2020.

All content sourced from Christopher Kent, “Additional Monetary Policy Tools: Reflections and a New Framework” and its Q&A transcript, Reserve Bank of Australia, 29 June 2026 (rba.gov.au/speeches/2026/). Prepared as a study aid; always verify against the primary transcript for direct quotation in assessments.